



Case Study: IMM's Potential Acquisition of ECOPRO Materials

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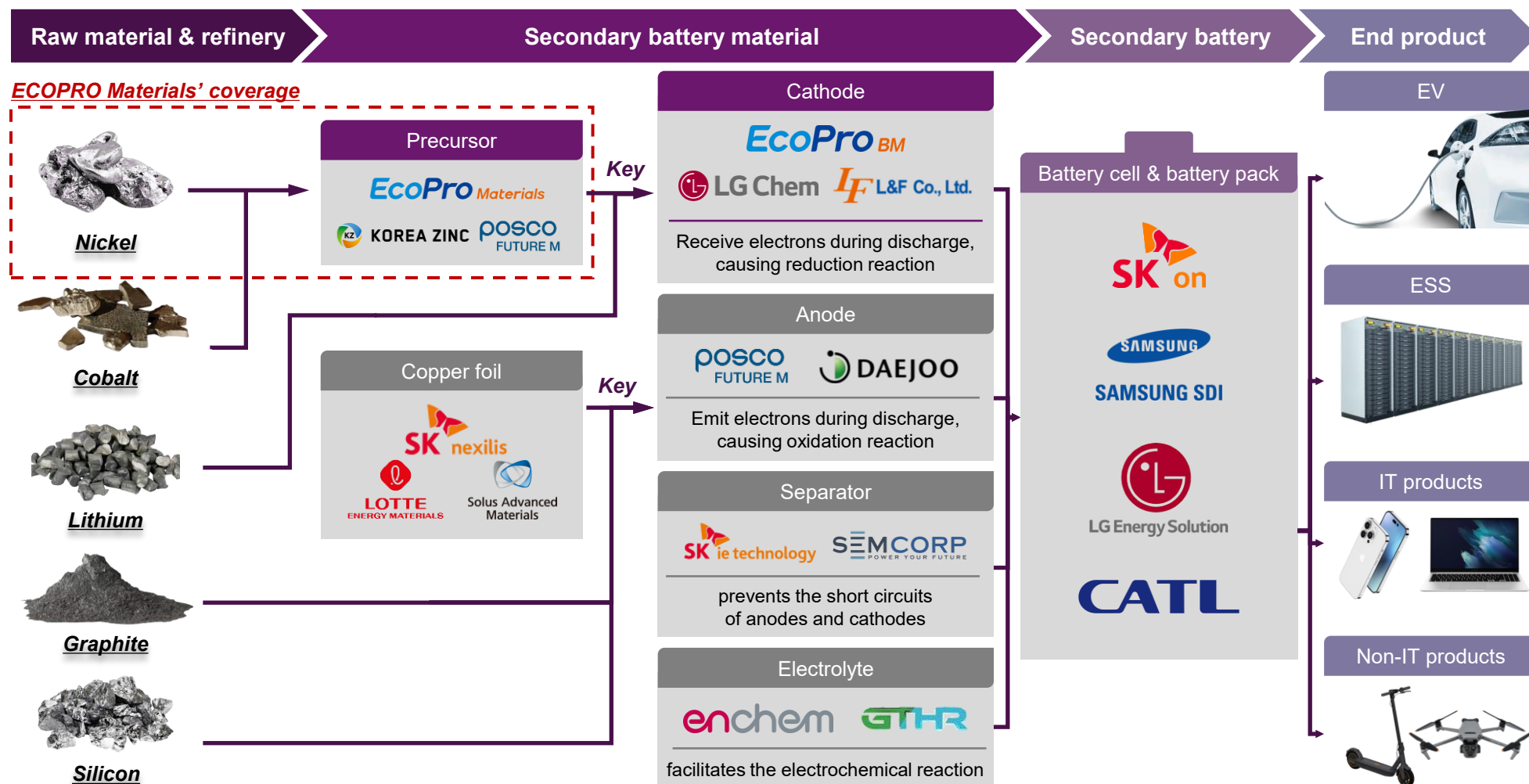
I. Industry Overview

1. Value Chain Overview
2. Global Secondary Battery Materials Industry

Value Chain Overview

Precursors are a key component that account for 70.0% of cathodes' production costs, with ECOPRO Materials providing full coverage in its production, from raw material sourcing to precursor manufacturing

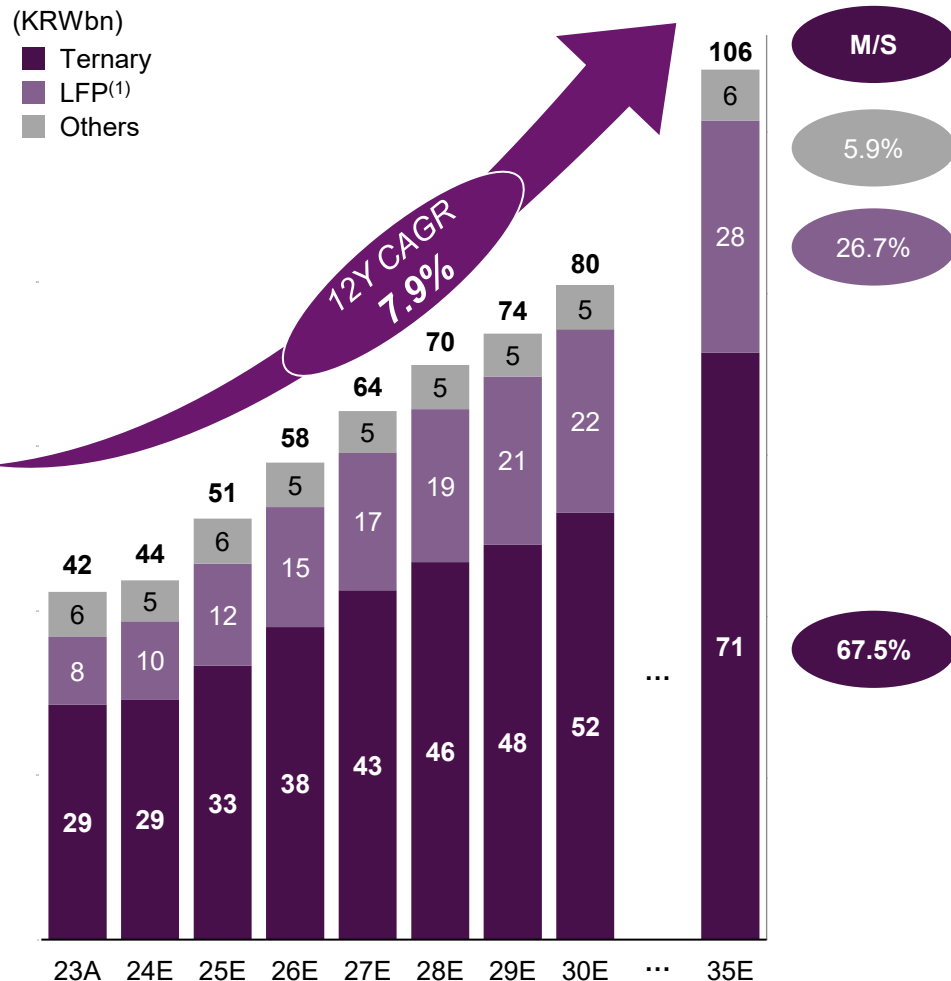
Industry value chain



Global Secondary Battery Materials Industry

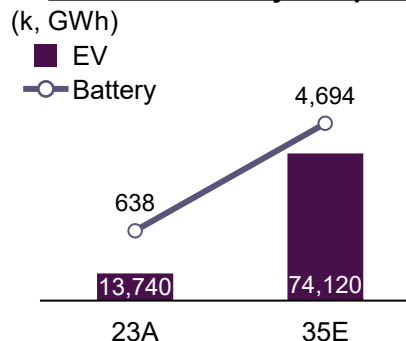
The global cathode market is projected to grow at a 12Y CAGR of 7.9%, driven by the expansion of the global EV and battery markets with precursors standing to benefit directly from the growth

Global cathode market prospects

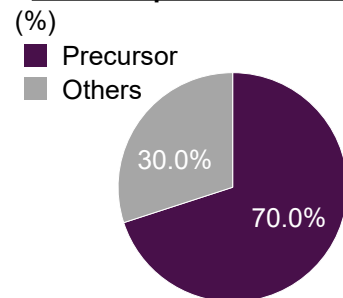


Growth drivers

Global EV / Battery Prospects



Cost composition of cathode (%)



Precursor accounts for 70% of the cost of cathode, standing to benefit directly from the growth of the cathode market

Regulatory environments

1 Imposition of protectionist trade policies in the US market

- Battery material manufacturers **originating from, influenced by, or using materials from FEOC⁽²⁾** are disqualified from subsidies for electric vehicles
- 70% of global secondary battery supply chain relies on Chinese players, **causing shortage of IRA⁽³⁾ qualified precursors**

2 Regulation qualified South Korean manufacturers

- Adding to IRA qualifications, KORUS FTA⁽⁴⁾ exempts tariff for South Korean battery material manufacturers, rendering prime position among competitors

South Korean precursor manufacturers are set to benefit from the protectionist policies of US and European markets

II. Company Overview

1. Company Snapshot
2. Business Overview
3. Deal Overview

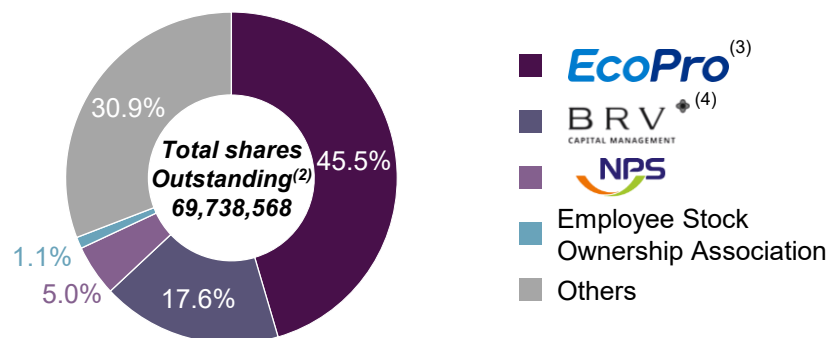
Company Snapshot

ECOPRO Materials is the domestic no. 1 player in the precursor industry with largest manufacturing capacity and has achieved economies of scale through vertical integration

Company profile

- Established in 2017, ECOPRO Materials (or “the Company”) manufactures **precursors** for cathodes used in secondary batteries, with its headquarters and manufacturing plant located in Pohang, South Korea
- Recent business initiatives has been the **acquisition of Green Eco Nickel (GEM), an Indonesian Nickel refinery**, cutting 30.0-40.0% of the cost, securing stable supply of key raw material, and diversify revenue sources
- The Company has a captive client ECOPRO BM, taking up 96.0% of the total revenue in 24A, while **diversifying its client base** by receiving orders from Samsung SDI and US OEM⁽¹⁾ electric vehicle manufacturers, revenues from which will take up 50.0% or more of the revenue from 25E
- The Company received previous investments from BRV Capital Management and IMM Investment, the former from 2017 to 2022 with gross amount of KRW95.7bn, and the latter worth KRW50bn in 2022

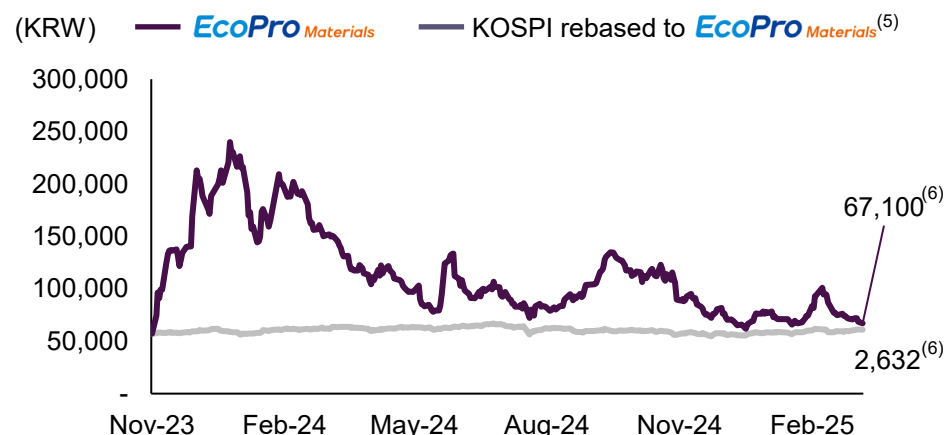
Ownership structure



Key financials

(KRWmn)	20A	21A	22A	23A	24A
Revenue	216,667	342,888	665,248	952,523	299,847
Growth (%)	63.3%	58.3%	94.0%	43.2%	68.5%
Gross Profit	17,193	25,417	53,852	34,959	(31,269)
Margin (%)	7.9%	7.4%	8.1%	3.7%	n/m
EBITDA	20,168	28,669	59,626	41,706	(20,760)
Margin (%)	9.3%	8.4%	9.0%	4.4%	n/m
EBIT	12,540	16,253	38,988	8,773	(64,720)
Margin (%)	5.8%	4.7%	5.9%	0.9%	n/m
Net Income	16,836	(22,980)	15,583	5,045	(42,686)
Margin (%)	7.8%	n/m	2.3%	0.5%	n/m
Total Assets	234,319	372,584	634,913	1,104,235	1,290,237
Total Liabilities	160,041	304,283	320,613	305,138	552,631
Net Debt	107,759	211,225	260,239	(124,438)	353,079

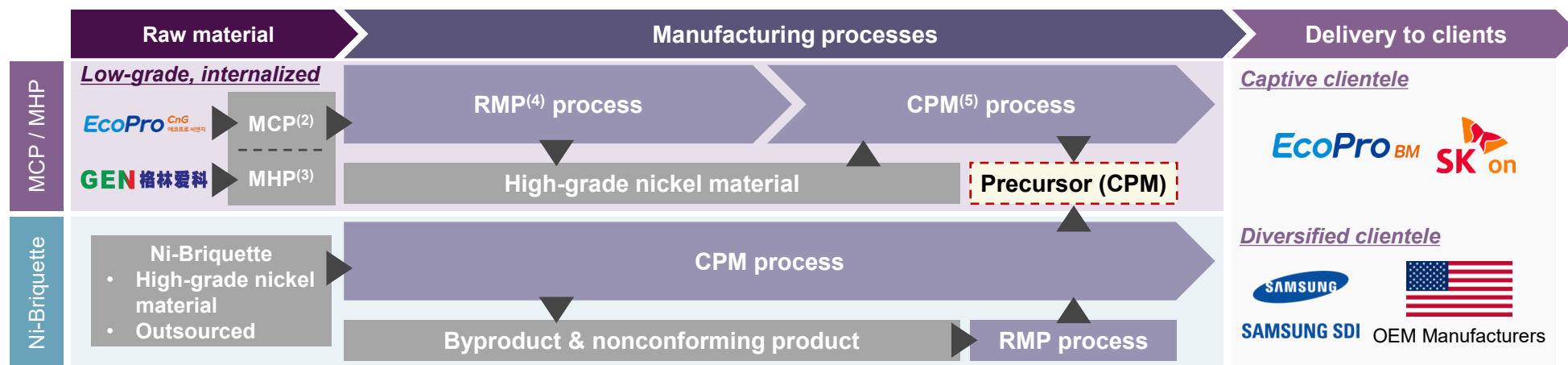
Stock price evolution



Business Overview

ECOPRO Materials cover end-to-end manufacturing processes of precursor production with the largest CAPA within the domestic market, and is to expand its capacity with new plants under construction

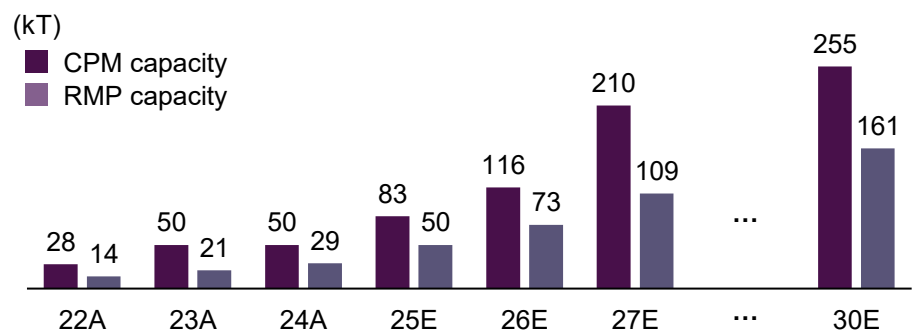
Manufacturing process



Manufacturing plant overview

RMP plant		Plant #1, 2	Plant #3, 4 ⁽⁶⁾
	Location	Pohang, South Korea	Pohang, South Korea
	Completion	#1: 21A; #2: 24A	#3: 1H25; #4: 2H25
	CAPA	#1: 14kT; #2: 20kT	#3, 4: 21kT
CPM plant		Plant #1, 2	Plant #3 ⁽⁶⁾
	Location	Pohang, South Korea	Pohang, South Korea
	Completion	#1: 18A; #2: 22A	#3: 2H25
	CAPA	#1: 16kT; #2: 34kT	#3: 33kT

Manufacturing capacity trends & prospects



ECOPRO Materials' Manufacturing capacity is continuously expanding, and is expected to reach 255kT in 30E

Deal Overview

With successful past investments in ECOPRO Group, IMM Investment aims to gain exposure to long-term growth potential of ternary precursor market, while ECOPRO Materials aiming to finance its future CapEx

Fundraising history

2017

- RCPS investment of KRW22bn from BRV Capital Management (or "BRV")
- Valued at enterprise value of KRW72bn



2021

- Equity and preferred stock investment of KRW28bn from BRV
- Valued at enterprise value of KRW180bn



2022

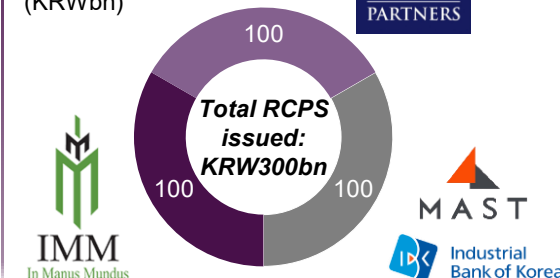
- Total equity investments of KRW96bn
- IMM Investment**
 - Equity investment of KRW50bn
 - Valued at enterprise value of KRW1600bn
- BRV**
 - Equity investment of KRW45.7bn
 - Valued at enterprise value of KRW1650bn

2023

- Initial Public Offering**
 - Raised KRW410bn from the IPO on November 7

2025

- IMM's potential acquisition of ECOPRO Materials** (KRWbn)



Buy-side rationale

1 Track record of successful investments in ECOPRO Group

- IMM Investment has been involved with ECOPRO Group's fundraising efforts, including CB investment of KRW40bn in ECOPRO BM in 2021
- CB Investment in ECOPRO BM** has become IMM Investments' landmark deal, yielding an **IRR of 88.0%** and MOIC of 2.8x in 2 years

2 Buying the dip

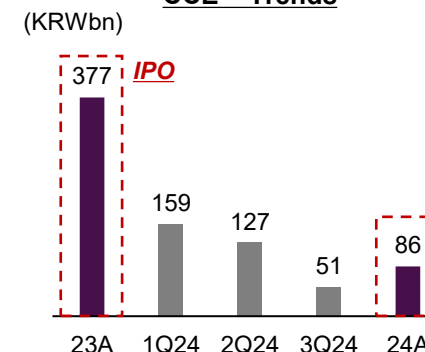
- ECOPRO Materials' stock price is down 53.8% YoY as of March 25, 2025
- Despite recent drop in stock prices, ECOPRO Materials is expected to perform well in the future with the ternary precursor market expected to grow by 12-year CAGR of 8.7%

Sell-side rationale

Investment plans ahead

- KRW53bn acquisition** of and **KRW235bn lending** to nickel refinery in Indonesia
- KRW957bn construction** of no. 4 manufacturing facility in Pohang
- KRW1trn construction** of joint venture production facility in Saemangeum with SK On and GEM

CCE⁽¹⁾ Trends



Plans for investments combined with its low cash balance makes it imperative for the sell-side to engage in funding efforts

III. Investment Highlights

1. Robust Domestic Precursor Market
2. Vertical Integration and Dominant Market Position
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Robust Domestic Precursor Market

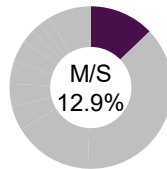
With industry titans present in the Korean market, ECOPRO Materials has secured two of the three as its clients, both of which are showing strong performances, signaling ECOPRO Materials' future sales growth

Industry titans rooting from the Korean market

M/S #3



Global EV secondary battery industry M/S⁽¹⁾



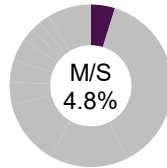
Company Details⁽²⁾

- Market capitalization: KRW84,240bn
- Revenue: KRW25,620bn
- EBITDA: KRW3,389bn
- EBITDA margin: 13.2%
- Business area: secondary battery manufacturing

M/S #4



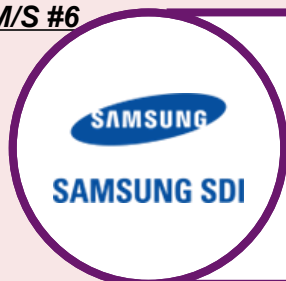
Global EV secondary battery industry M/S⁽¹⁾



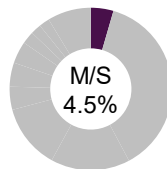
Company Details⁽²⁾

- Market capitalization: N/A
- Revenue: KRW14,035bn
- EBITDA: (KRW595bn)
- EBITDA margin: n/m
- Business area: middle to large electric vehicle battery manufacturing

M/S #6



Global EV secondary battery industry M/S⁽¹⁾



Company Details⁽²⁾

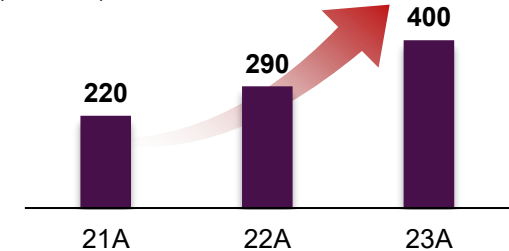
- Market capitalization: KRW14,337bn
- Revenue: KRW16,592bn
- EBITDA: KRW2,148bn
- EBITDA margin: 12.9%
- Business area: electric material and battery manufacturing

ECOPRO Materials' clients

ECOPRO Materials as a key beneficiary

SK On's backlog trends

(KRWtrn)



SK On's growing backlog trends signal potential revenue opportunities

SAMSUNG SDI's newly received orders

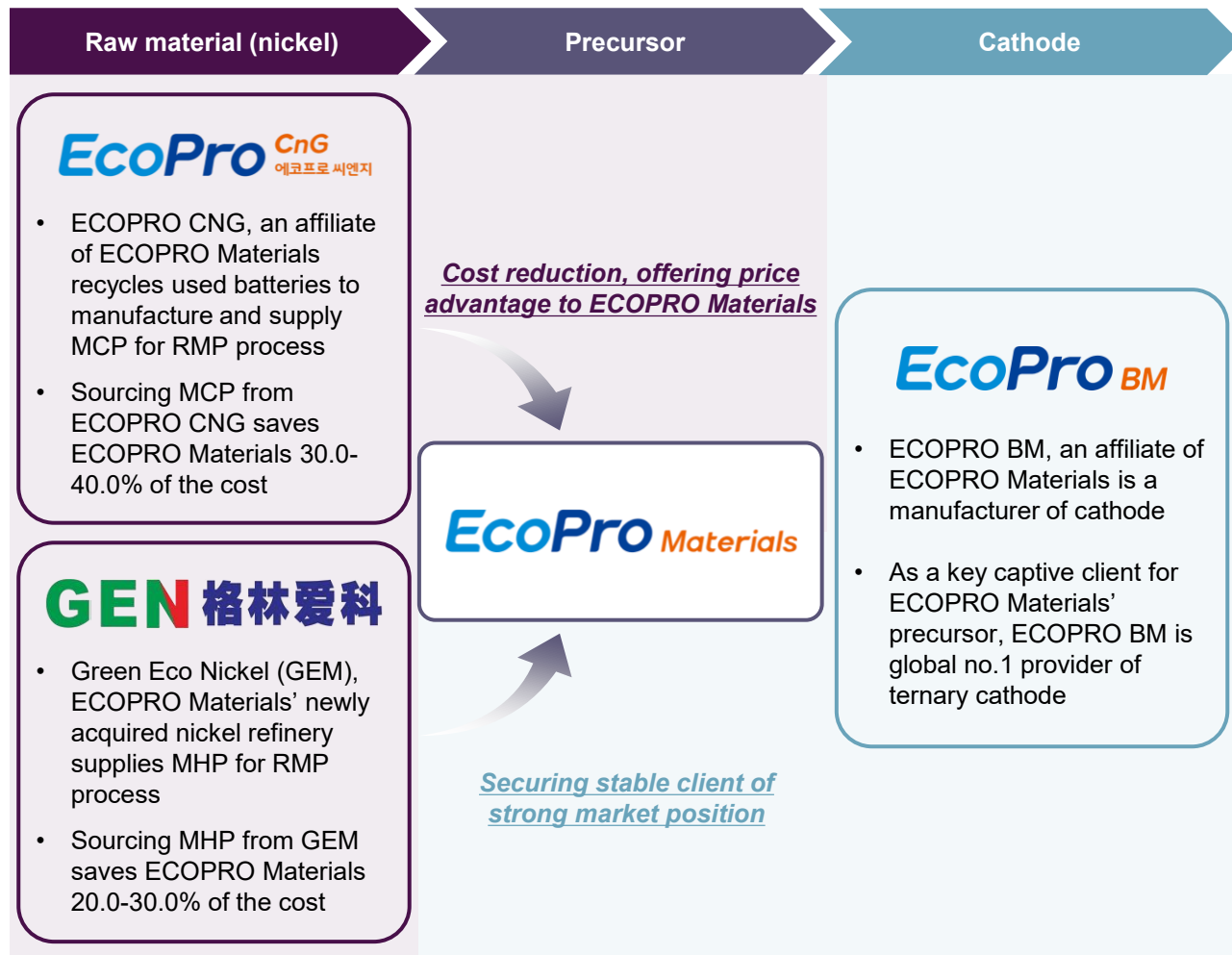


SAMSUNG SDI has newly secured orders for GM and Genesis electric vehicles

2 Vertical Integration and Dominant Market Position

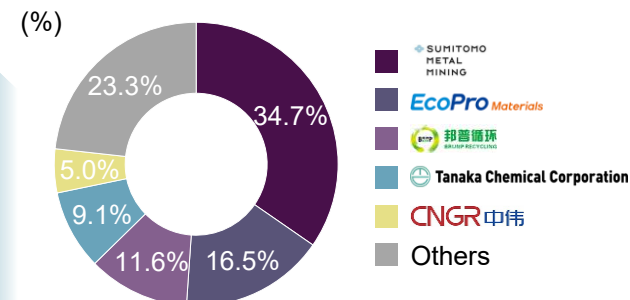
ECOPRO Materials has established market leadership position, backed by vertical integration of secondary battery manufacture procuring raw materials at low cost and securing a client with strong market position

Vertical integration



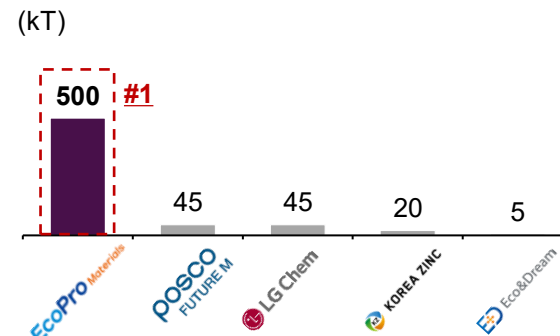
Dominant market position

Global high nickel precursor industry M/S⁽¹⁾



Global no. 2 player in high nickel precursor industry

Domestic precursor manufacturers' CAPA⁽²⁾

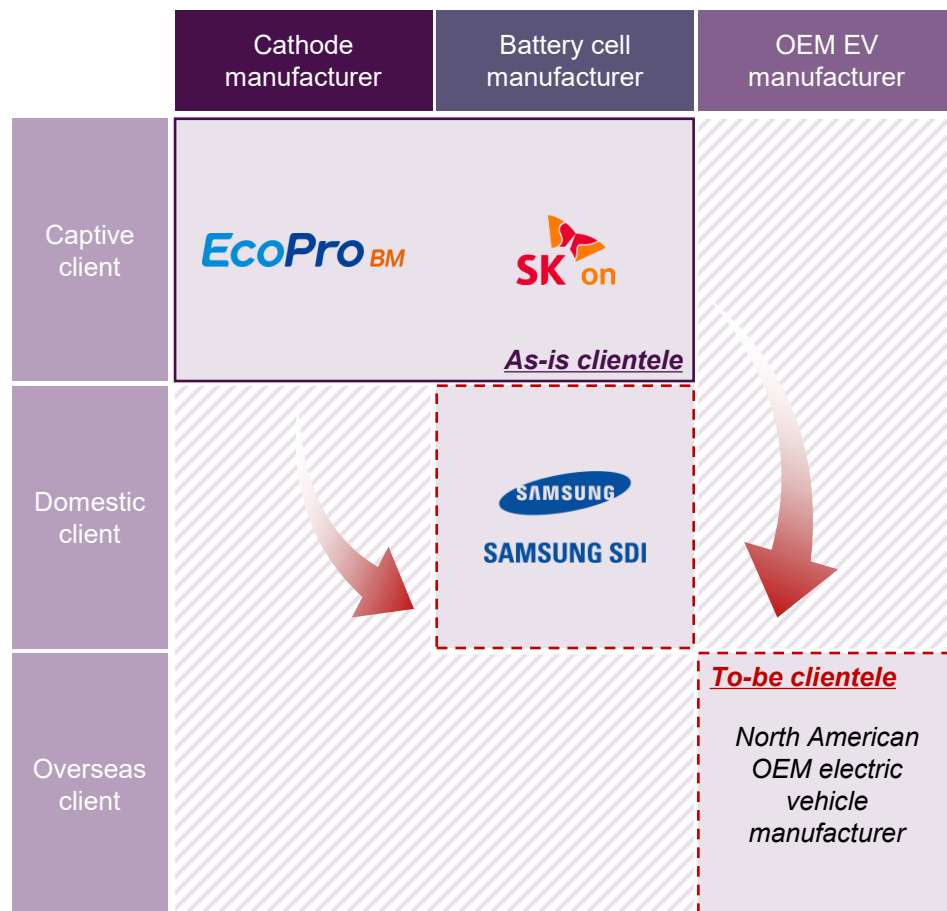


Domestic no. 1 player with the largest manufacturing capacity

3 Expanding and Secure Client Base

ECOPRO Materials has stable captive client base and has been expanding its client network to non-captive clientele with 70.0% of its 30E revenue to be generated from newly secured clients

Potential client universe

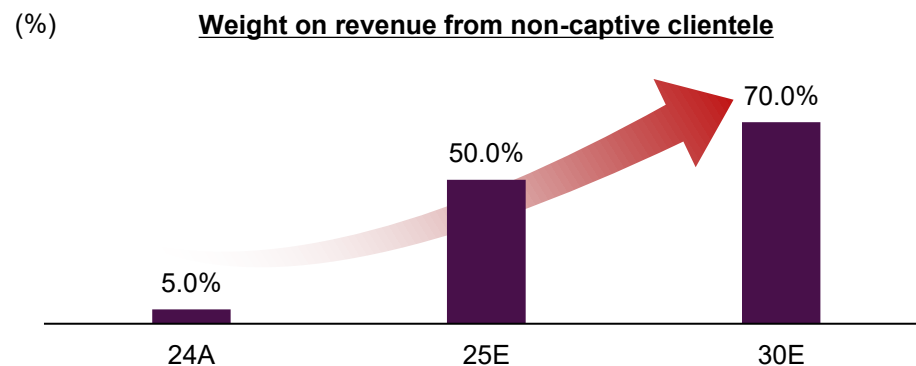


Building upon strong captive client, ECOPRO Materials is expanding its client base

Client expansion timeline

- **3Q24:** **Samsung SDI**
 - Stellantis JV bound
- **2Q25:** **North American EV OEM manufacturer**
 - Sole vendor to OEM manufacturer
- **25E:** **Domestic cathode manufacturer**
 - In talks of supply contract in 25E
- **25YE⁽¹⁾:** **Domestic cell manufacturer**
 - In talks of supplying Mid-Nickel High-Voltage Single Crystal, starting from 25 year-end
- **TBD:** **Undisclosed Japanese client**
 - In talks of supplying for hybrid vehicles

Expanding clientele



70.0% revenue expected to be generated from non-captive clientele in 30E, from diversified source of revenue



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